

CMBS Delinquency Rate Dips, But the Underlying Pressure Is Not Easing

A large lodging cure masks rising distress in retail and multifamily, revealing a market of narrow liquidity.

The headline number is a 20-basis-point decline in the CMBS delinquency rate to 7.35%. The real story is what the aggregate masks: three of five major property types saw their delinquency rates rise, and the cure that drove the improvement came from a single large lodging loan. This is not a market healing evenly.

It is a market where liquidity is narrow, time is running out for some assets, and the data is being shaped by outliers. The largest newly delinquent loans in June totaled nearly \$1 billion across five properties: a super-regional mall in Southern California, a regional mall in New Hampshire, an office complex in New York, a mixed-use tower in Minneapolis, and a Manhattan multifamily property. These are not marginal assets.

They are large, complex, and in many cases, structurally challenged by higher rates and shifting demand. Their arrival in the delinquency bucket signals that the refinancing window is not opening wide enough for every sponsor. Retail posted the largest increase, rising 30 basis points to 6.91%. Multifamily rose 28 basis points to 7.23%, reversing last month's improvement. Office edged up four basis points to 11.57%.

Lodging dropped 79 basis points to 5.22%, and industrial fell 11 basis points to 1.20%. The lodging cure is welcome, but it is not a trend. It is a single event that temporarily improves a sector that remains exposed to seasonal demand and expensive debt. The capital market signal here is about the cost and availability of refinancing.

CMBS loans that matured or are approaching maturity face a rate environment that is structurally higher than when they were originated. For retail and multifamily, the pressure is acute. Retail malls are fighting structural vacancy and tenant retrenchment. Multifamily is contending with rent growth deceleration, higher operating costs, and a refinancing market that demands lower leverage and higher debt yields.

Office remains the deepest distress pool, with a rate that has barely budged despite months of headlines about return-to-work and leasing momentum. The incentive map is clear. Lenders are not eager to take back assets, but they are also not willing to extend loans at terms that leave them exposed to further value erosion. Borrowers are trying to buy time, but time is expensive.

The cure in lodging came from a sponsor who likely brought fresh equity or a new loan to pay off the old one. That is a positive outcome, but it is not replicable across every sector. For the malls and offices that turned delinquent, the path to cure is narrower. Who benefits from this environment? Lenders with capital to deploy into performing loans at wider spreads.

Private credit funds that can underwrite complex situations and charge for the optionality. Sponsors with strong balance sheets who can inject equity to defend their assets. Who is exposed? Owners of secondary and tertiary retail, older multifamily with thin margins, and office buildings that lack the capital to reposition. The market is bifurcating not just by property type, but by sponsor quality and basis.

The next phase of the CMBS cycle will not be defined by the aggregate delinquency rate. It will be defined by which assets can refinance, which sponsors can recapitalize, and which lenders are willing to take the keys. The 20-basis-point decline in June is a statistical artifact. The real work of unwinding the post-2021 capital stack is still underway.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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